

380 has a better story than company 212, and especially when the latter story begins to sound unlikely.

As it turns out, if you know why you bought a stock in the first place, you'll automatically have a better idea of when to say good-bye to it. Let's review some of the sell signs, category by category.

WHEN TO SELL A SLOW GROWER

I can't really help you with this one, because I don't own many slow growers in the first place. The ones I do buy, I sell when there's been a 30–50 percent appreciation or when the fundamentals have deteriorated, even if the stock has declined in price. Here are some other signs:

- The company has lost market share for two consecutive years and is hiring another advertising agency.
- No new products are being developed, spending on research and development is curtailed, and the company appears to be resting on its laurels.
- Two recent acquisitions of unrelated businesses look like diworseifications, and the company announces it is looking for further acquisitions “at the leading edge of technology.”
- The company has paid so much for its acquisitions that the balance sheet has deteriorated from no debt and millions in cash to no cash and millions in debt. There are no surplus funds to buy back stock, even if the price falls sharply.
- Even at a lower stock price the dividend yield will not be high enough to attract much interest from investors.

WHEN TO SELL A STALWART

These are the stocks that I frequently replace with others in the category. There's no point expecting a quick tenbagger in a stalwart, and if the stock price gets above the earnings line, or if the p/e strays too far beyond the normal range, you might think about selling it and waiting to buy it back later at a lower price—or buying something else, as I do.

Other sell signs:

- New products introduced in the last two years have had mixed results, and others still in the testing stage are a year away from the marketplace.
- The stock has a p/e of 15, while similar-quality companies in the industry have p/e's of 11–12.
- No officers or directors have bought shares in the last year.
- A major division that contributes 25 percent of earnings is vulnerable to an economic slump that's taking place (in housing starts, oil drilling, etc.).